Bogleheads

Slice and dice international

> *This article contains details **specific to United States (US) investors**. If you are a non-US investor, **do not use** any funds or ETFs listed here. They expose you to harmful US dividend tax and estate tax risks. Proceed **only** if you have verified these risks do not apply to you.*

As an alternative to investing in a foreign total market fund, it is possible to **slice and dice international** allocations by holding separate regional funds: emerging markets plus either a developed markets fund or separate Pacific rim and European funds.

Characteristics of slice and dice

The primary advantage of a total market fund is simplicity: a single fund whose market weights are maintained automatically. A secondary benefit for a Vanguard investor is possible inclusion of Canadian stocks, which represent about 6% of Vanguard Total International Index Fund.

Possible advantages and disadvantages of slicing and dicing internationally involve costs, taxes, and diversification.

The relative cost advantage of using ETFs or mutual funds depends on many factors, including size and frequency of the investment, expected holding period, the level of commission and trading costs, and realized return. To determine the relative costs between an ETF and a mutual fund, you can use Vanguard's cost comparison calculator (https://personal.vanguard.com/us/faces/JSP/Funds/Tools/FundsToolsEtfCostSelectionContent.jsp?etfId=0).

Currency diversification

According to Rick Ferri in *All About Asset Allocation*, having fixed allocations between Europe, Pacific, and emerging market diversifies currencies better than one fund.

Possible rebalancing bonus

Also according to Rick Ferri, rebalancing across those currencies "could provide a diversification benefit, as it has in the past". William Bernstein suggests a rebalancing bonus may be obtainable with emerging markets (see External links below). Rebalancing in a taxable account may incur capital gains taxes.

Overweighting Pacific or emerging markets

Historically, Europe has been more correlated with the U.S. market than Pacific and emerging markets, so you may want to overweight Pacific or emerging markets. The market weight as of February 2026 is approximately 38% Europe, 26% Pacific and 27% emerging markets according to the allocation of the Vanguard Total International Stock Index Fund (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtiax), which follows market capitalization.

Avoiding regional bubbles

Total market funds will change as the underlying market weights change. With Japan as an example, maintaining a fixed weight to Japan and Pacific in the 1980s might have avoided an overallocation to Japan. More recently, in 2010 emerging markets increased to 23% of the world market (according to composition of Vanguard Total International Market fund, January 2010), from about 4% in 1998.[1]

See also

- Slice and dice

References

1. John Bogle (1999). *Common Sense on Mutual Funds*. ISBN 978-0-471-39228-6.

External links

- Rebalancing Individual National Markets (http://www.efficientfrontier.com/ef/400/rebal400.htm), from William Bernstein
- Bogleheads forum topic: "FTSE vs. S&D - Tax Implications" (https://www.bogleheads.org/forum/viewtopic.php?t=10864). January 7, 2008

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